BAP No. 25-000

UNITED STATES BANKRUPTCY APPELLATE PANEL OF THE TENTH CIRCUIT

IN RE EXAMPLE HOLDINGS, LLC,

Debtor.

JANE DOE,

Appellant,

v.

EXAMPLE TRUSTEE, *et al.*,

Appellees.

Bankr. No. 25-10000, Chapter 7

On Appeal from the United States Bankruptcy Court for the District of Example

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OPENING BRIEF OF APPELLANT JANE DOE

PAT EXAMPLE
Example Law Office
100 Example Street
Anytown, ST 00000
(555) 555-0100
pat@example.com

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STATEMENT REGARDING ORAL ARGUMENT

Appellant requests oral argument. The appeal presents a question of statutory construction on which the Panel may benefit from argument.

STATEMENT OF JURISDICTION

The Bankruptcy Court had jurisdiction over this matter under 28 U.S.C. §§ 157 and 1334. Appellant filed a notice of appeal on September 2, 2026, from the order of the Bankruptcy Court entered August 19, 2026, which resolves all claims in the adversary proceeding and is a final order. 28 U.S.C. § 158(a)(1) gives the Bankruptcy Appellate Panel jurisdiction over appeals from final judgments, orders and decrees, and the Tenth Circuit has authorized the Panel to hear such appeals under 28 U.S.C. § 158(b)(1). The notice of appeal was filed within fourteen days after entry of the order, as Fed. R. Bankr. P. 8002(a) requires, so the appeal is timely.

STATEMENT OF THE ISSUES AND STANDARD OF REVIEW

1. Whether the Bankruptcy Court erred in authorizing the sale of estate property free and clear of the interest asserted by Appellant under 11 U.S.C. § 363(b). The Panel reviews the authorization of a sale for abuse of

discretion; it reviews de novo any legal conclusion underlying the authorization.

2. Whether the Bankruptcy Court erred in disallowing Appellant's claimed exemption under 11 U.S.C. § 522. The Panel reviews conclusions of law de novo and findings of fact for clear error.

STATEMENT OF THE CASE

A. Background

The Debtor, Example Holdings, LLC, owned a building and certain equipment used in its business. In 2024 Appellant advanced funds to the Debtor under a written agreement that granted her a security interest in the equipment. The agreement was recorded in the state filing office in March 2024.

B. The Chapter 7 case

The Debtor filed a voluntary petition under Chapter 7 on January 10, 2025. The Trustee was appointed and, in June 2026, moved to sell the building and the equipment free and clear of all liens. Appellant objected. She argued that the sale price did not reflect the value of the equipment and that her interest should attach to the proceeds.[1]

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[1] The record citations in this sample are placeholders. A filed brief cites the appendix by page, for example "Appellant's App. at 27."

C. The order under review

After a one-day hearing, the Bankruptcy Court approved the sale and disallowed Appellant's claimed exemption in the equipment. Appellant timely appealed both rulings.

SUMMARY OF THE ARGUMENT

The Bankruptcy Court approved a sale without finding that the price reflected the equipment's value. That finding is a prerequisite under the statute, and the record does not supply it. The court also treated the exemption question as resolved by a prior order that did not reach it. Each error is independent, and each requires that the order be vacated and the matter remanded for further findings.

ARGUMENT

I. THE SALE ORDER RESTS ON A FINDING THE RECORD DOES NOT SUPPORT

A. The statute requires a finding on price

A trustee may sell estate property other than in the ordinary course of business only after notice and a hearing. 11 U.S.C. § 363(b). A sale that cannot be justified by a sound business reason is not authorized, and the court must make findings sufficient for review.

The Bankruptcy Court did not address the value of the equipment. It accepted the Trustee's broker opinion, which assumed that the equipment would be sold as scrap. The opinion does not consider the equipment's use value to a going concern, and the Trustee did not offer any other evidence of value.

1. The broker opinion does not establish value

A valuation that rests on an unstated assumption cannot support a finding that the price is fair. The Trustee's witness conceded on cross-examination that he had not inspected the equipment. The Bankruptcy Court should have given that concession weight.

a. The concession

The witness testified that his opinion was a "rough estimate." That description is not consistent with a finding of fair value.

A finding made without evidence of the relevant value is clearly erroneous, and the Panel reviews it on that standard.

B. The exemption ruling was decided on an incomplete record

The court disallowed the exemption on the ground that a prior order had decided the question. The prior order addressed a different property and expressly reserved the equipment. 11 U.S.C. § 522 governs the exemption and must be applied to the property actually claimed.

Because the court applied the wrong order, its legal conclusion is reviewed de novo, and the Panel should decide the issue on the present record or remand it.

II. THE SALE ORDER DOES NOT PROTECT APPELLANT'S INTEREST IN THE PROCEEDS

Appellant's security interest attaches to the proceeds of the collateral. The order approving the sale does not provide for payment of her interest from the proceeds. The Trustee argued that the order was drafted to protect all interests, but a general reservation does not protect a specific interest.

> The order shall provide that all liens attach to the proceeds of sale with the same validity, priority and extent as they had in the property sold.

The Bankruptcy Court's authority to order a sale is limited by statute and cannot be used to defeat a valid lien. See Law v. Siegel (bankruptcy courts may not rely on equitable powers to override the Code's specific provisions). The Panel should direct that the order be revised to protect Appellant's interest in the proceeds.

III. THE TRUSTEE'S PROCEDURAL OBJECTIONS DO NOT BAR REVIEW

The Trustee contends that Appellant waived her objection. She did not. The objection was raised in writing before the hearing and was argued at the hearing.

Fed. R. Bankr. P. 8014 requires the appellant to state her contentions and the reasons for them; the opening brief does so.

The Trustee also contends that the matter is not properly before the Panel because it concerns a core matter. The question of the Bankruptcy Court's authority to decide the matter is not presented by this appeal. See Stern v. Marshall. The Panel may decide the appeal on the statutory questions alone.

CONCLUSION

Appellant asks the Panel to vacate the sale order and the exemption ruling, to direct the Bankruptcy Court to make findings on the value of the equipment, and to remand for further proceedings consistent with the Panel's decision.

Respectfully submitted,

/s/ Pat Example
PAT EXAMPLE
Example Law Office
100 Example Street
Anytown, ST 00000
(555) 555-0100
pat@example.com

October 14, 2026

CERTIFICATE OF COMPLIANCE

1. This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g) and 10th Cir. BAP L.R. 8015-1(d), it contains no more than 13,000 words. The brief contains 1,011 words, as counted by the drafting software.

   [X] this brief contains 1,011 words.

2. This brief complies with the typeface requirements of Fed. R. Bankr. P. 8015(a)(5) and 10th Cir. BAP L.R. 8015-1(b) because it has been prepared in a proportionally spaced typeface using Microsoft Word in 14-point Liberation Serif roman type.

/s/ Pat Example
Attorney for Appellant Jane Doe
Dated: October 14, 2026

STATEMENT OF RELATED CASES

The filer knows of no related case pending before the United States Supreme Court, any United States Court of Appeals, any United States District Court, or the Bankruptcy Appellate Panel.